

CARBON CREDIT

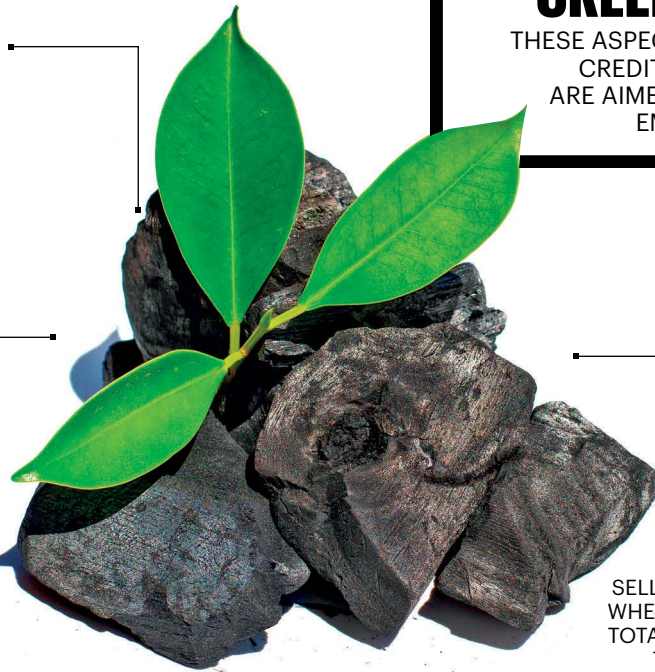
IT IS A PERMIT ALLOWING THE EMISSION OF ONE TONNE OF GREENHOUSE GASES PER PERMIT AS A MEANS TO INCENTIVISE EMISSION REDUCTION

GREEN CONCEPT

THESE ASPECTS OF THE CARBON CREDIT TRADING CONCEPT ARE AIMED AT ENCOURAGING EMISSION REDUCTION

CARBON OFFSET

THESE ARE PROJECTS OR ACTIVITIES THAT REDUCE, AVOID OR REMOVE GREENHOUSE GAS EMISSIONS TO COMPENSATE FOR EMISSIONS OCCURRING ELSEWHERE

**CARBON TRADING**

IT INVOLVES BUYING AND SELLING OF CARBON CREDITS, WHERE LIMITS ARE SET ON THE TOTAL AMOUNT OF EMISSIONS THAT REGULATED ENTITIES CAN RELEASE

SOURCE BT RESEARCH

producer generates more renewable energy in a particular period than what distribution companies are ready to buy at a premium, then it is supplied as normal power, against which carbon credit certificates can be generated. These are then sold to an entity ready to buy the credits through a transaction that helps it report lower emissions, she explains. Further, these carbon credits are valued using various aspects, such as market dynamics, implementation costs or project value, along with type, size, location, etc.

THE CONCEPT OF carbon credits under carbon trading came into existence in the 1990s, and as a part of the Kyoto Protocol finalised in Japan in 1997, an agreement among participating nations was reached to reduce greenhouse gas emissions. It became international law in 2005. But the market for carbon credits has only grown in recent years. Now, the global carbon credit market is estimated to be worth \$414.8 billion in 2023, and poised to reach \$1.6 trillion by 2028, per MarketsandMarkets Research.

During the first commitment period that ended on December 31, 2012, India, China and Brazil were three

large players generating primary emission reduction instruments through registration with the United Nations Framework Convention on Climate Change (UNFCCC), under the Clean Development Mechanism (CDM) of the Kyoto Protocol. CDM is a UN-run carbon offset scheme that allows businesses from one country (developed nation) to fund greenhouse gas emissions-reducing projects in other countries, and claim the saved emissions as part of their own efforts to meet international emission targets.

During the second commitment period that started on January 1, 2013, restrictions imposed by the European Union Emissions Trading System on the trade of these instruments beyond the first commitment period resulted in a loss of demand for them from EU countries. With the Paris Agreement and subsequent decisions on Article 6 of the Agreement—that allows countries to voluntarily co-operate with each other to achieve emission reduction targets set out in their Nationally Determined Contributions (NDC)—the market is now warming up as governments initiate action based on their agreed-upon NDCs.

And India has been an active participant in the international carbon market. “Till date, India accounts for a